

Why a Percentage Lease?

With a percentage lease, the tenant pays a portion of the rent through a percentage of sales proceeds. Why would any business want to give up a portion of its sales for rent?

- To keep rent low
- To provide incentive to the building owner to bring in business

Retail businesses are unlike other businesses. When a retail business is shopping for a space, location can make or break a business. To entice tenants, building owners will claim, "We'll bring you traffic." By working out a percentage lease, a retailer is essentially responding, "If that's true, put your money where your mouth is, and make some of my rent dependent on sales." The percentage lease creates a synergy between building owners and tenants.

What About Other Businesses?

Why aren't there percentage leases in offices? Because everything's internal. People come to a software company for the software, not its location. Percentage leases wouldn't help, and would in fact be inadvisable for these types of businesses.

Anchor Retailers Are an Exception

Percentage leases are generally limited to the inline tenants, those who won't draw traffic on their own. Large anchor tenants (Macy's, JCPenney, etc.) don't do percentage leases because they're not to their advantage. Anchor tenants actually draw traffic (and other tenants) to the site through their name recognition and major advertising campaigns. Instead of a percentage lease, an anchor retailer may get a rent subsidy.